

BYJU'S: The Rise and Fall of the World's Most Valuable Edtech Startup

A Business Case Study

1. Company Snapshot

Legal Entity	Think & Learn Pvt. Ltd.
Brand	BYJU'S
Founded	2011, Bengaluru, India
Founders	Byju Raveendran, Divya Gokulnath
Sector	Edtech (K-12, test prep, online learning)
Peak Valuation	\$22 billion (2022)
Total Funding	~\$4.6–6 billion across 26–36 rounds
Valuation (Oct 2024)	Effectively zero
Current Status	Under corporate insolvency proceedings (NCLT, India)

2. The Rise (2011–2022)

Origin

Byju Raveendran, an engineer from a coastal village in Kerala, began by coaching friends for the CAT entrance exam. He was such a compelling teacher that sessions grew from classrooms to auditoriums to stadium-scale lectures. In 2011 he formalised this into Think & Learn.

The Product

The BYJU'S app launched in **2015** with highly produced video lessons, interactive visualisations, and gamified learning, content designed to make students *want* to watch. AI/ML was used to personalise learning paths, running on a cloud platform built for millions of concurrent users.

The Business Model

A **freemium subscription model**:

- Free basic content to acquire users at scale
- Paid premium programs, typically ₹50,000 – ₹1,00,000+, often sold as multi-year packages
- Heavy upfront collection, frequently financed through loans/EMI arrangements
- Aggressive telesales and door-to-door conversion of free-trial users
- Later, an offline tutoring layer added via the Aakash acquisition

The Growth Engine: Acquisitions

Rather than organic expansion, BYJU'S bought its way to scale:

Acquisition	Strategic Intent
Aakash Educational Services	Offline test-prep dominance (JEE/NEET), the crown jewel
WhiteHat Jr	Kids' coding, pandemic-era demand
Epic!	US market entry, kids' digital reading
Osmo	Physical-digital learning toys
Toppr, Great Learning, Tynker, GeoGebra, Gradeup, and others	Category coverage and talent

The Pandemic Windfall

COVID-19 shut schools globally and BYJU'S was perfectly positioned. It added **13.5 million new students in March–April 2020 alone**. Capital flooded in from Sequoia, Silver Lake, Tiger Global, General Atlantic, BlackRock, Tencent, Chan Zuckerberg Initiative, and Qatar Investment Authority.

Peak visibility included a Lionel Messi ambassadorship, FIFA World Cup sponsorship, Indian cricket team jersey sponsorship, and a **Harvard Business School case study** on its international expansion.

3. What Went Wrong

3.1 Financial Deterioration Hidden by Growth

- FY21 losses widened roughly **17-fold to ~₹4,500 crore**
- FY22: revenue ~₹5,298 crore against a net loss of **~₹8,245 crore**, losing more than ₹1.5 for every ₹1 earned
- Financial statements were filed late, obscuring the scale of the problem for years

3.2 Acquisition Overreach

Buying ten companies quickly is far easier than integrating and running them well. Synergies were assumed rather than executed. Raveendran later publicly conceded **WhiteHat Jr was a mistake**, while defending the Aakash deal.

3.3 Unsustainable Debt

A **\$1.2 billion Term Loan B** raised in the US became the central flashpoint, triggering covenant disputes, lender litigation in Delaware, and loss of control over key assets.

3.4 Governance Red Flags

- Auditor **Deloitte resigned**; board members from major investors exited
- Delayed statutory filings
- Reported ED (Enforcement Directorate) scrutiny under FEMA
- Allegations of mis-selling: pressuring low-income parents into loans they couldn't service
- Data privacy and false-advertising complaints

3.5 Demand Normalisation

Once schools reopened, online learning demand reverted sharply. The cost base, headcount (50,000+), and debt obligations had all been built for a demand curve that no longer existed.

3.6 The Trigger

Insolvency was not triggered by the billion-dollar debt. It was triggered by an unpaid **₹158 crore sponsorship dues claim from the BCCI**, a comparatively small liability that a solvent company would have settled without thought.

4. Current Status (as of mid-2026)

- Think & Learn was admitted into **corporate insolvency resolution (CIRP) in July 2024**; the process remains unresolved
 - As of **July 2026**, the Bengaluru NCLT paused the creditor bidding process while examining the founders' challenge to an **₹11,433 crore creditor claim**
 - **Aakash** has effectively separated from the BYJU'S brand; Manipal Education and Medical Group has built a controlling position through fresh equity and debt arrangements
 - Legal proceedings against Raveendran personally continued into 2026, including a damages phase beginning January 2026; he has indicated settlement talks are advanced
 - Headcount collapsed from 50,000+ to a disputed remnant (one tracker lists ~19,000; other sources list effectively zero active staff)
 - **Industry context:** competitors like upGrad, Simplilearn, and BrightCHAMPS expanded into Southeast Asia and West Asia during the same period, indicating this was largely a *company-specific* failure, not purely an edtech sector collapse
-

5. Key Takeaways

1. **Growth ≠ value.** A rising valuation can mask a business getting structurally less healthy underneath it.
2. **Acquisition velocity is not a strategy.** Integration discipline determines whether M&A creates or destroys value.
3. **Governance signals matter as much as growth metrics.** Auditor resignations and delayed filings are leading indicators, not noise.
4. **Small liabilities become existential once the cushion is gone.** ₹158 crore ended a \$22 billion company.

5. **Do not build a permanent cost structure on a temporary demand shock.** The pandemic was a tailwind, not a new baseline.
 6. **Unit economics eventually wins.** Customer acquisition funded by investor capital is a subsidy, not a business model.
-

6. Discussion Questions

1. At what point should BYJU'S have shifted from growth-at-all-costs to profitability? What signals were available at that moment?
 2. Did investor pressure for scale actively encourage the acquisition spree? Where does board responsibility begin?
 3. Was the Aakash acquisition a sound strategic bet executed under the wrong financial conditions?
 4. Could BYJU'S have survived if it had raised equity instead of the \$1.2B Term Loan B?
 5. What does the contrast with upGrad and Simplilearn tell us about edtech as a category versus BYJU'S as a company?
-